EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sanchez Mira is a third class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a *visita* of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018, were P251,830,909.57, P63,972,780.13 and P187,858,129.44, with an increase (decrease) of 13.25%, (5.05%) and 21.21%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P115,009,803.43 and P85,682,734.01, which increased by 7.99% and 10.67% respectively from last year's figures.

Particulars	2018	2017	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	251,830,909.57	222,367,909.45	29,463,000.12	13.25%
Liabilities	63,972,780.13	67,376,752.15	(3,403,972.02)	(5.05%)
Govt. Equity	187,858,129.44	154,991,157.30	32,866,972.14	21.21%
Financial Performance				
Income	115,009,803.43	106,497,807.24	8,511,996.19	7.99%
Expense	85,682,734.01	77,424,643.54	8,258,090.47	10.67%
Appropriations, Allotments and Obligation				
Appropriations	124,808,064.02	125,711,461.14	(903,397.12)	(0.72%)
Allotments	124,780,939.02	125,711,461.14	(930,522.12)	(0.74%)
Obligations	87,298,504.25	92,586,220.99	(5,287,716.74)	(5.71%)

3. Independent Auditor's Report on the Financial Statements

We rendered a Modified Opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P131,880,380.36 (net of depreciation) could not be ascertained due to the non-recognition of at least 75% of Local Road and Road Network System in the books of the Municipality. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Audit Observations and Recommendations

a. Investment property representing Markets account totaling to P4,921,388.27 has not been reclassified in the books of accounts contrary to with the provisions of International Public Sector Accounting Standards (IPSAS) 16, (Investment Property) resulting in understatement of the Investment Property, Building account and overstatement of Markets account.

   We recommended that management, thru the Accounting Office, reclassify the Markets account to Investment Property, Building account to conform with IPSAS 16-Investment Property, for fair presentation of financial statements.

b. Appropriation in the 20% Development Fund (DF) amounting to P1,035,000.00 for certain programs, projects and activities are not in accordance with the guidelines provided under DILG and DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017.

   We recommended management to refrain from the implementation of the identified project and all its current and continuing appropriations shall be substituted with high priority projects, programs and activities in accordance with Joint Memorandum Circular No. 2017-1 dated February 22, 2017 and which should be directly supportive of the 2017-2022 Philippine Development Plan and Public Investment Program.

c. The municipality paid wages amounting to P6,040,351.97 in hiring an average of seventy two (72) contract of service personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result in excessive workforce, work duplication and eventual waste of financial resources.

We recommended that Management formulate Policy Guidelines in hiring contract of service employees, taking into consideration the necessity as to the reasonable number of contract of service employees to be assigned in different offices in order to avoid excessive manpower, work duplication and unnecessary expenditures for wages.

Ensure that the policy guidelines formulated would not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality but promote optimum utilization of financial resources.

5. Summary of Total Suspensions, Disallowances, and Charges

There are no issued and unsettled audit suspension and disallowance as at December 31, 2018.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the fifteen (15) audit recommendations in the prior year's report, ten (10) were fully implemented and five (5) were partially implemented as at year end.